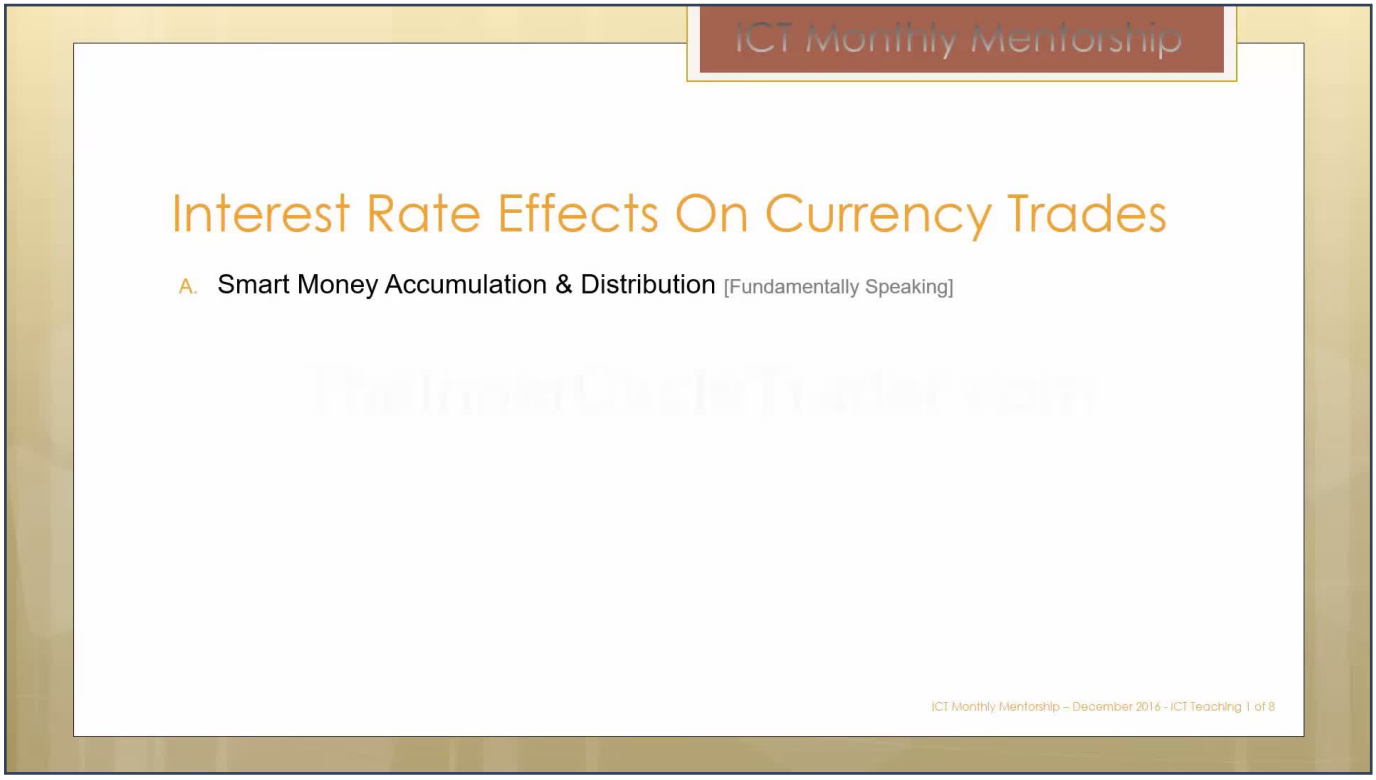
ICT MENTORSHIP CORE CONTENT

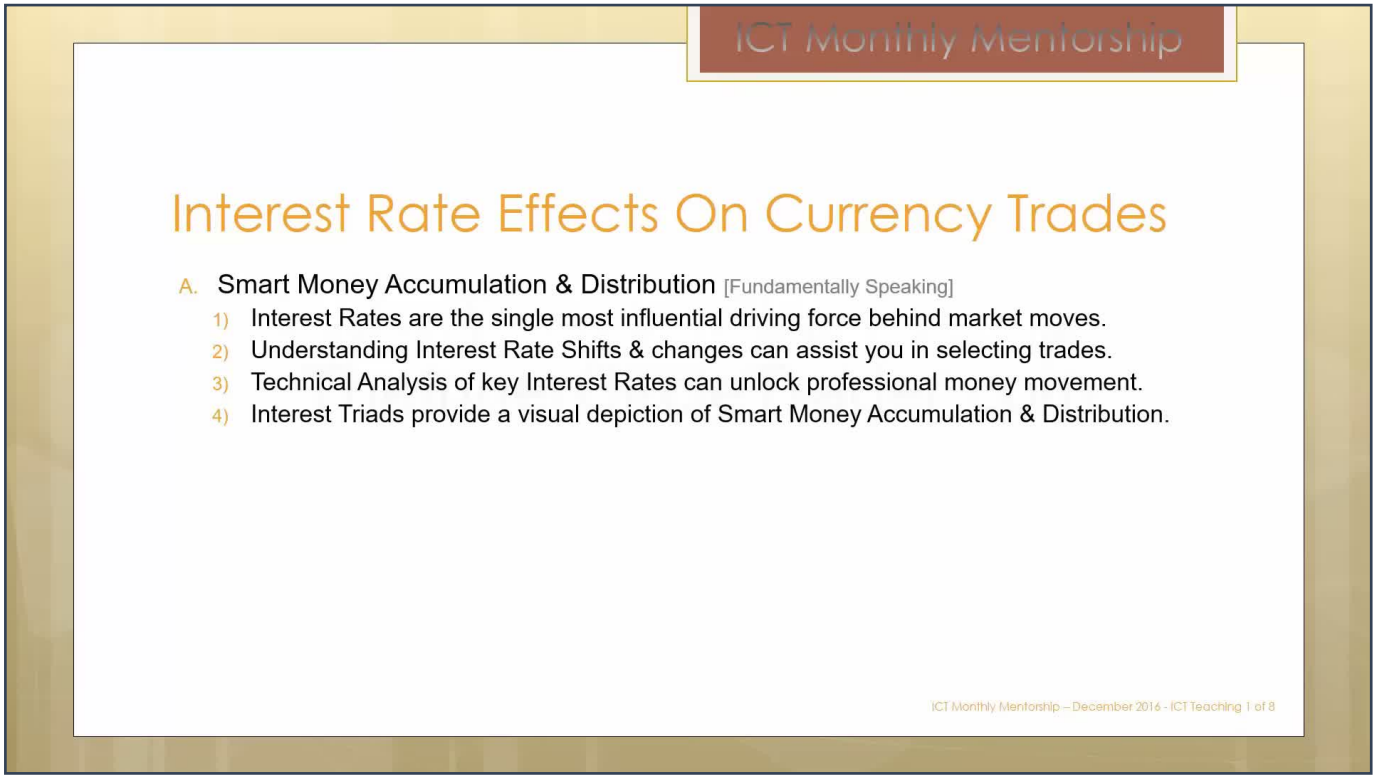
ICT MENTORSHIP CORE CONTENT - MONTH 04 - INTEREST RATE EFFECTS ON CURRENCY TRADES



This module focuses on smart money accumulation and distribution, fundamentally speaking. Interest rates are identified as the single most influential driving force behind market moves.

- Understanding interest rate shifts and changes can assist in selecting trades.

- Technical analysis of key interest rates can unlock professional money management movement.



Interest rate triads provide a visual depiction of smart money accumulation and distribution. To utilize them, you must understand their components:

- 30-year bond: The key long-term interest rate benchmark.

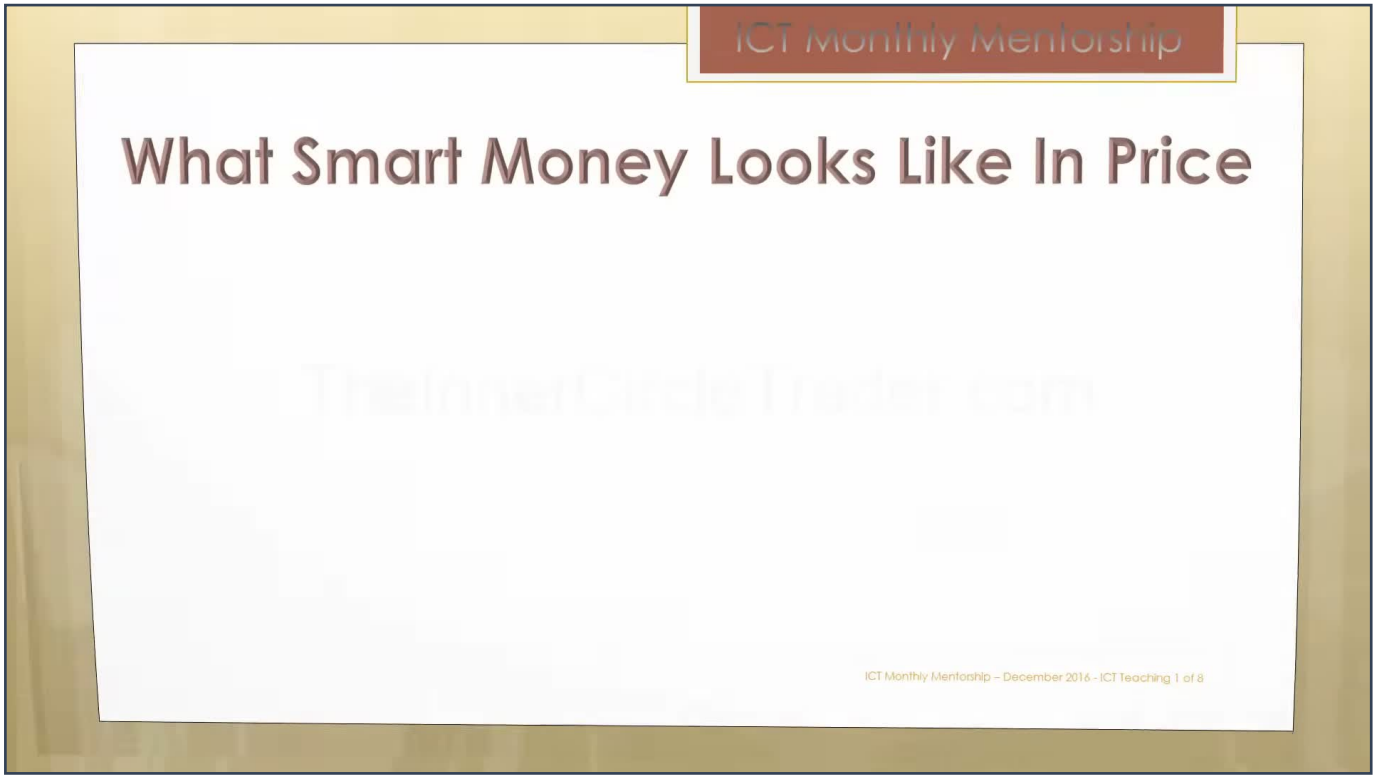
- 10-year note: An intermediate-term interest rate.

- 5-year note: A short-term interest rate.

These three interest rate markets are all futures markets. By looking at their price action in relationship to one another, it will unlock many aspects of price action type setups that often evade traders. Overlaying or comparative analysis on these three interest rates unlocks price action, and failure swings at opportunistic times can validate institutional order flow.

IDENTIFYING SMART MONEY DISTRIBUTION (BEARISH CONDITIONS)

TIMESTAMP: 00:02:43



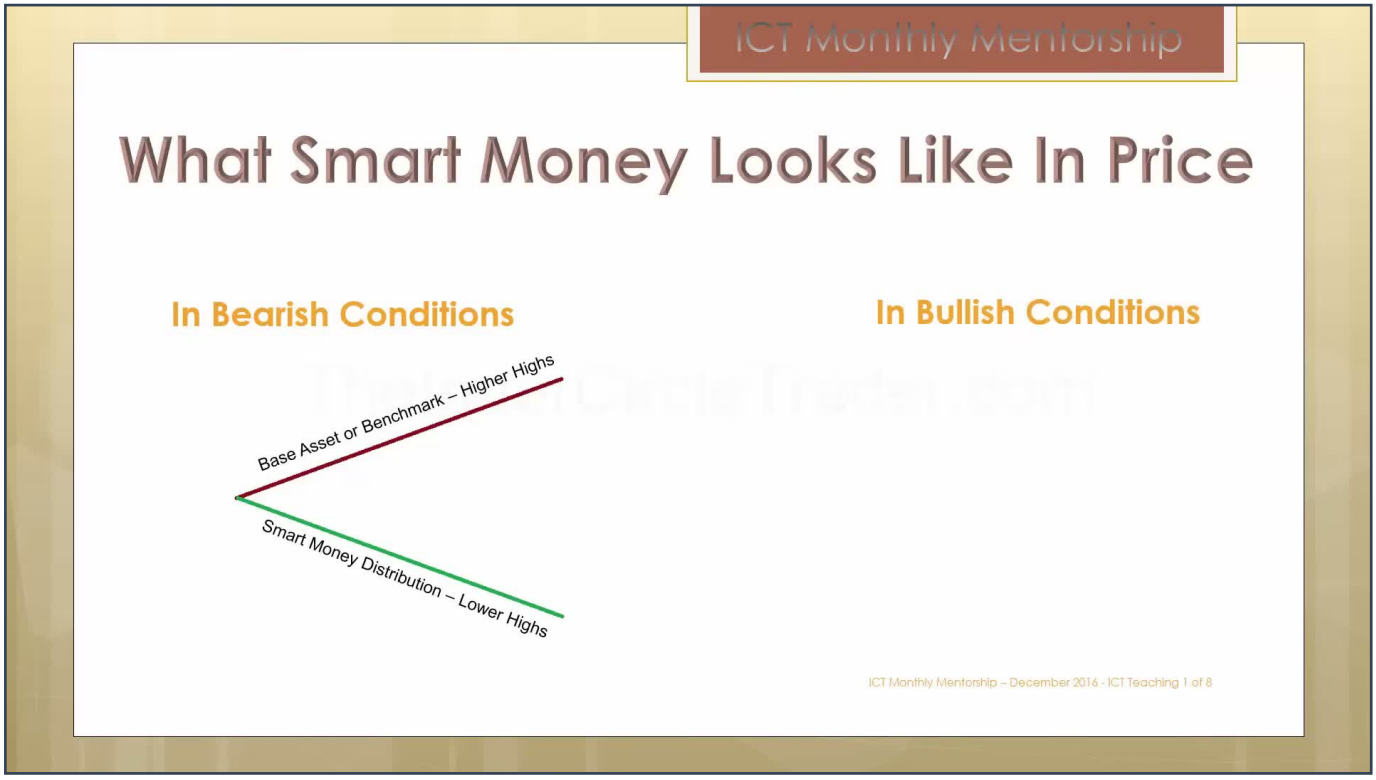
To identify smart money movement, particularly distribution in bearish conditions, observe the following:

- Base Asset/Benchmark: Makes higher highs.

  - Examples: Dow Jones Industrial (stocks), Dollar Index (currencies), CRB Index (commodities).

- Comparable Correlated Assets: Make lower highs.

This occurs because smart money is heavily distributing while the base asset moves higher. The public, or less informed traders, perceive the base asset's higher highs as underlying strength. However, if general market averages (comparable assets) start making lower highs, it indicates smart money distribution is underway, not new buying sending prices higher.



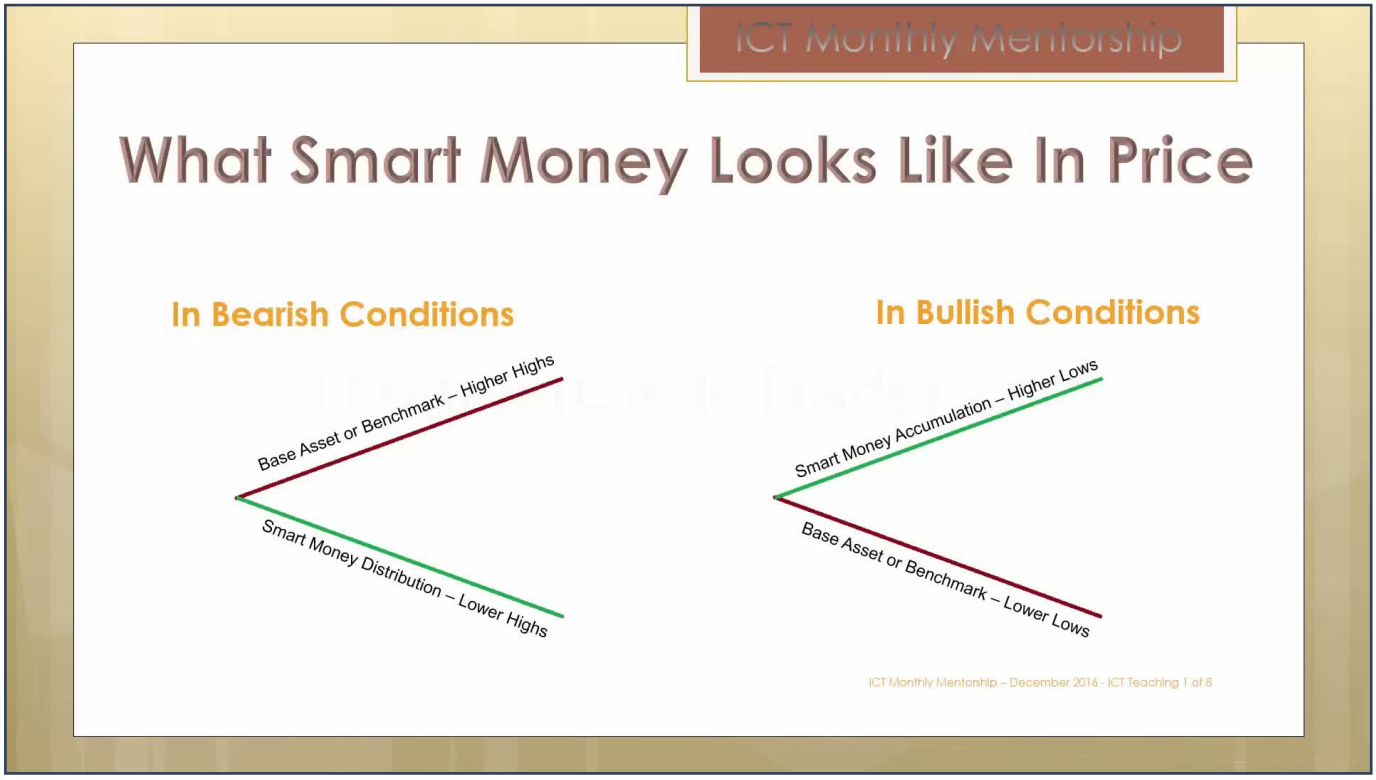
In bullish conditions, the opposite scenario is observed for smart money accumulation:

- Base Asset/Benchmark: Moves lower, forming lower lows.

- Example: Dow Jones Industrial making lower lows, perceived by the public as underlying weakness, suggesting stocks should continue lower.

- Comparable Correlated Assets: Make higher lows.

A closer look will reveal some stocks or comparable assets are not making lower lows but are forming higher lows. This is a visual representation of smart money accumulation. If there is heavy buying (high demand), the price will not be permitted to go lower; it will trade at a steady or higher price. To accumulate more, buyers are forced to pay a premium, preventing discounts.



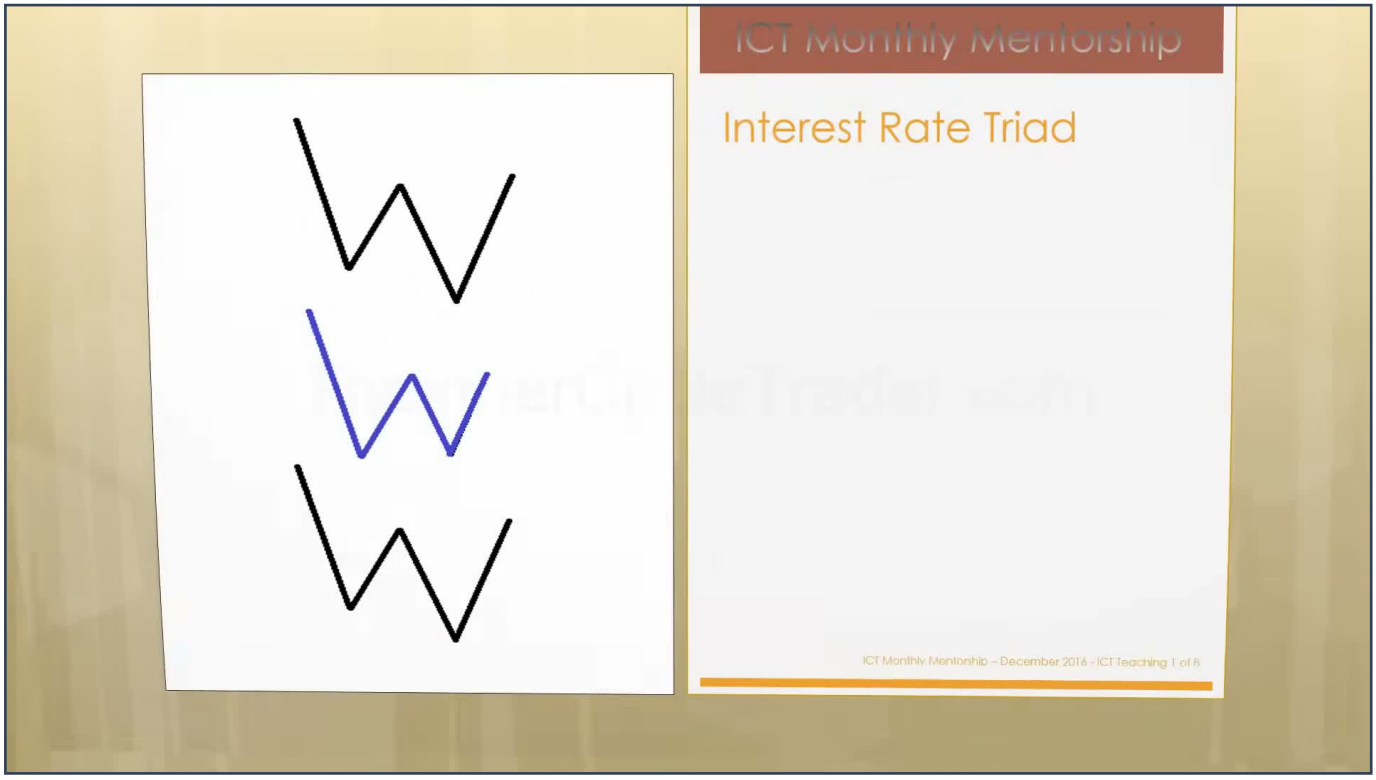
The underlying logic for smart money actions:

- Bearish Conditions (Distribution): When the base asset is moving higher, heavy distribution takes place because smart money is selling. Their perspective is that the rally on the base asset (e.g., Dow Jones) is not underlying strength but a heavy distribution cycle.

- This is evidenced by numerous stocks, or indices like the S&P 500 and Nasdaq Composite, failing to make higher highs, serving as a warning sign of a distribution cycle.

APPLYING THE INTEREST RATE TRIAD FOR SMART MONEY MOVEMENT

TIMESTAMP: 00:06:40



The interest rate triad, consisting of the 30-year Treasury bond, the 10-year note, and the 5-year note, is crucial for identifying smart money movement. By overlaying these three markets:

- You can highlight when accumulation or distribution is occurring in the interest rate market.

- This represents smart money movement, allowing traders to see where accumulation (buying) or distribution (selling) is actually occurring.

- The three interest rates should confirm each higher high or lower low at moments when the US Dollar Index is at a significant price point.

- Failure swings in the triad highlight smart money participation and validate trading opportunities.

A failure swing in the interest rate triad indicates smart money participation and an interest rate shift:

- Consider a scenario where an interest rate (e.g., 30-year, 10-year, or 5-year) fails to make a lower low, while others do.

- This break in the pattern of moving lower signals underlying strength in that specific interest rate, meaning large volumes are moving due to smart money entries and exits.

- If this occurs when you're identifying a potential institutional order reference point or focal point in the US Dollar Index, it confirms that particular idea.

Example for Bullish Dollar Index: If you are looking for a bullish order block on the Dollar Index, expecting support and a buy, you would observe the opposite indication in the triad:

- Probably two interest rates making higher highs.

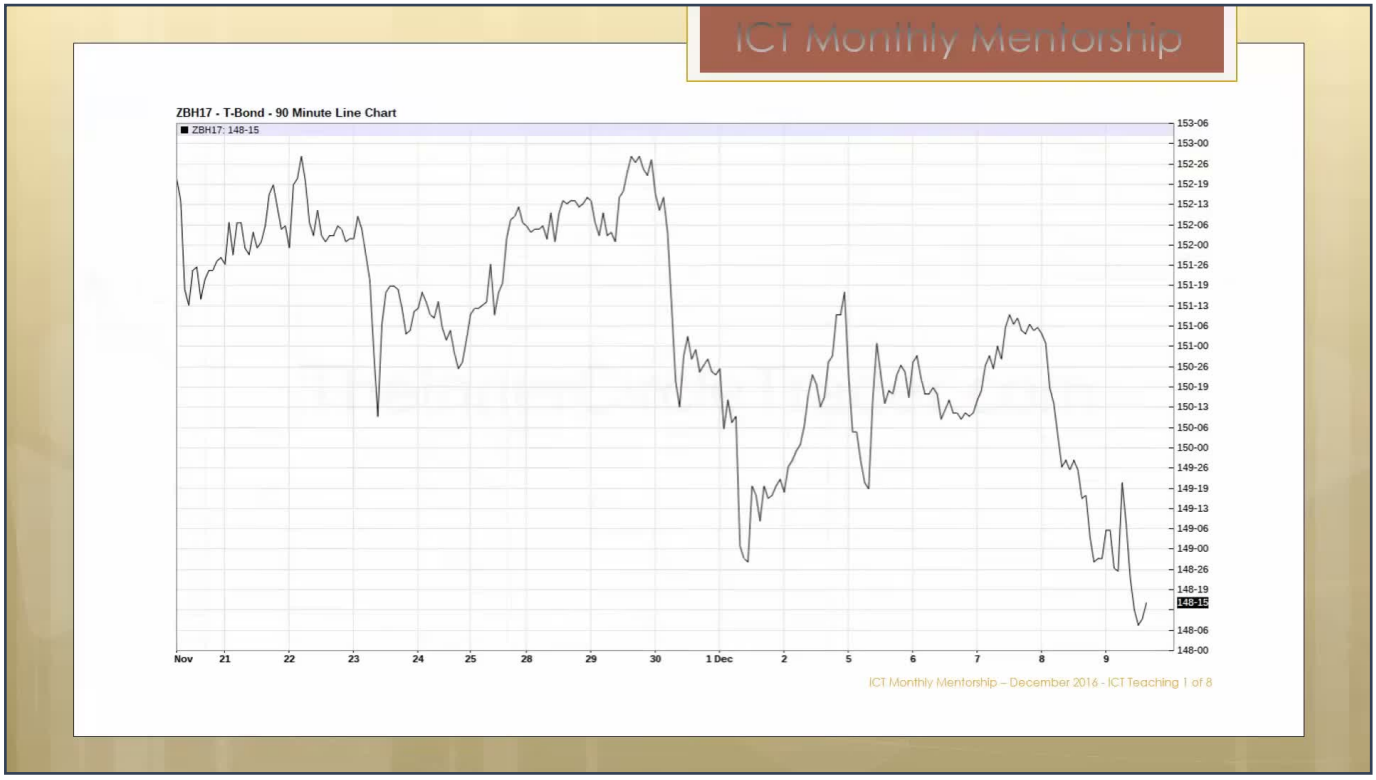
- One interest rate making a lower high.

- This divergence confirms the bullish order block for the Dollar Index.

Interest rate charts can be obtained for free from services like barchart.com. While plotting open, high, low, and close for these markets (30-year, 10-year, 5-year) is simple, understanding the implications requires a comparative analysis, not traditional technical analysis.

- Comparative Basis: Look at how these charts move relative to each other and to the Dollar Index.

- Recent Example (Week of Recording): The Dollar Index came down to the 99.50 level and rallied aggressively, indicating bullishness for the dollar.



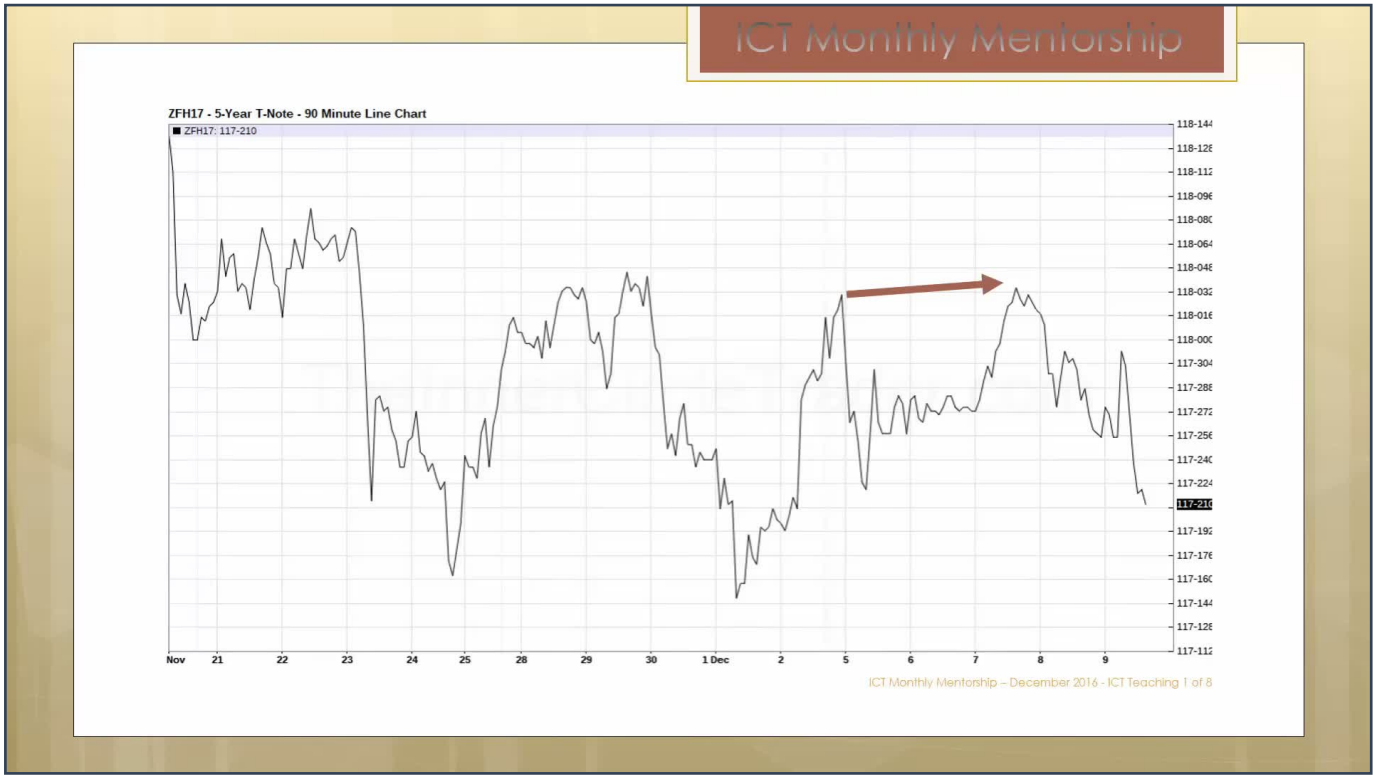
Let's examine the interest rate market during the Dollar Index's aggressive rally off the 99.50 level (between December 5th and 8th):

- 30-year Treasury Bond (90-minute chart): Showed a failed higher high, a clear failure swing. By itself, this doesn't mean anything, but when combined with a dollar long idea, a lower high on the 30-year bond market is significant.

- 10-year Note: Relatively unchanged, flat to neutral, didn't make a lower high but also not a considerable higher high.

- 5-year Note (Short-term curve): Clearly formed a higher high.

This divergence – a higher run on the 5-year, an unchanged high on the 10-year, and a lower high on the 30-year – highlights a shift in the interest rate market. This shift is pronounced and clearly visible, reinforcing the concept that interest rates are the number one leading driver for price action in currency markets.



You must have a predetermined idea of what the market you're about to trade (e.g., Dollar Index) should do in terms of bullishness or bearishness. Returning to the Dollar Index around December 5th-8th:

- The Dollar Index made a lower low, trading down into a significant price level (99.50) on a closing basis.

- We observed a significant divergence: a lower low on the Dollar Index concurrent with the 30-year Treasury bond failing to make the expected higher high.

When price moves into previous levels of institutional order flow (like the 99.50 order block on the Dollar Index from mid-November), traders must anticipate dynamic price movement. The interest rate triad provides validation that smart money is working that level.

The interest rate triad is key to validating which order blocks to trade off of:

- When price trades into an order block on the Dollar Index, check the interest rate markets for clues of smart money activity.

- Green Light: If there's an interest rate divergence (failure swing) between the 30-year, 10-year, and 5-year markets while price hits a specific order block on the Dollar Index, it signals a high-probability setup.

- Pass on the Trade: If there's no obvious indication of large fund movement by smart money, pass on the trade idea.

Understanding the triad's confirmation patterns:

- For Dollar Bullishness (as seen in the example): The interest rate market would show a divergence with a failed higher high among the three rates. While the dollar moves lower, the bond market should be making higher highs. However, if one fails to make a higher high, it signals a shift that confirms dollar strength.

- For Dollar Bearishness: You would expect to see the interest rate markets making lower lows. However, if one of them fails to make that lower low, it validates sell signals in the Dollar Index at:

  - A bearish order block.

  - An old high that's been run out for a liquidity pool.

  - Trading up into a fair value gap or closing in a range.

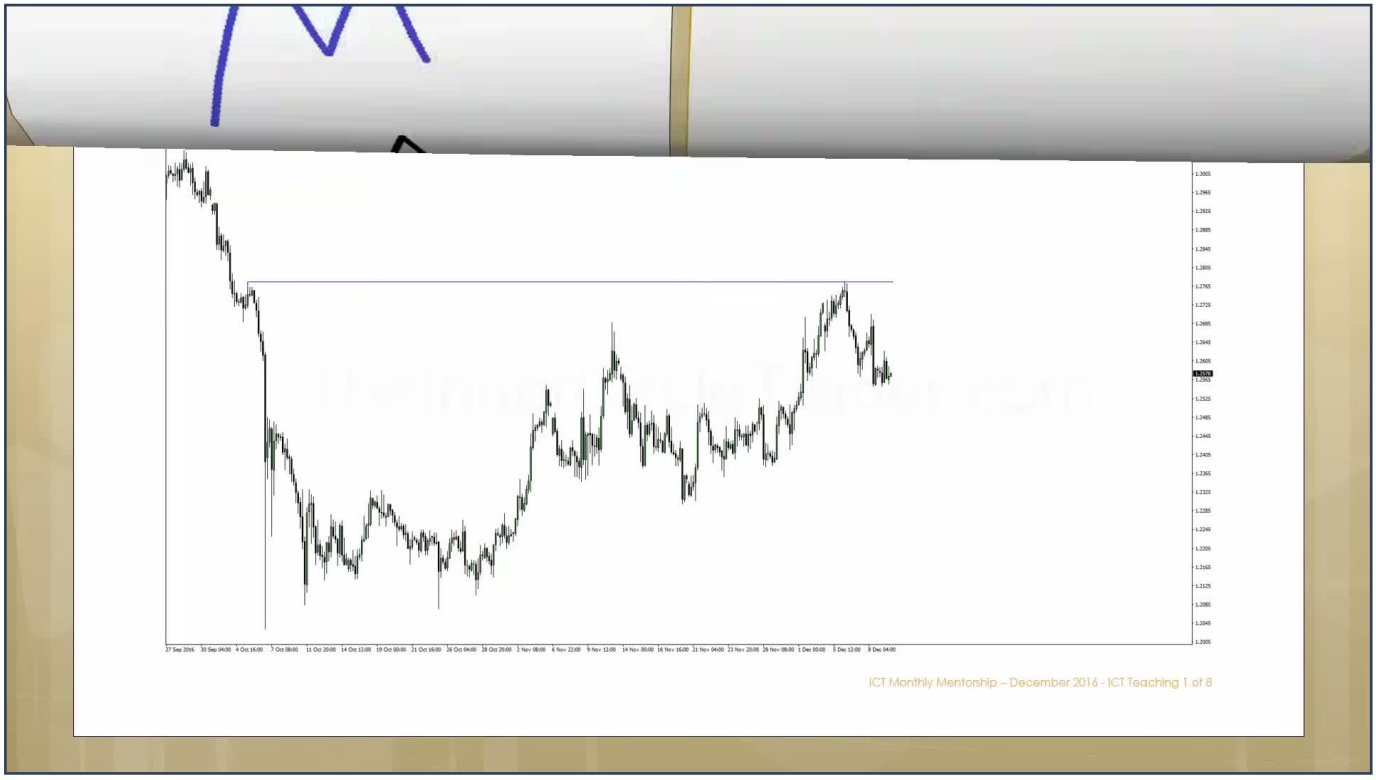
In this scenario, you'd expect the dollar to roll lower and interest rates (on the charts) to start trading higher, which means actual interest rates are declining and would be bearish for the dollar.

A strong Dollar Index (due to triad divergence) implies bearishness for foreign currencies:

- EUR/USD (Fiber): With dollar bullishness, the Euro USD would be expected to show bearish situations. The market rallied to clear buy stops above 1.0815-1.0820, then traded to an old low at 1.0865, justifying a selling scenario.

- GBP/USD (Cable): Cable might fail to make a higher high when Euro Dollar makes a higher high, while the Dollar Index makes a lower low. This shows that it's not always just a divergence in one specific location or asset; sometimes, blending multiple factors is necessary to understand smart money actions.

The strong dollar is significant because it coincided with a failure swing in the interest rate triad (30-year, 10-year, 5-year) at the moment the dollar was trading down to a key level. This brings everything in sync, where the market will drive in one direction based on the interest rates. If interest rate markets are dropping lower (meaning interest rates are going higher), it will drive the Dollar Index higher, which in turn drives foreign currencies lower. Everything fits together like a cog, with all gears turning.



To implement this information effectively, integrate it with the points of focus taught in the first month of the mentorship:

- When Price Trades to a Focus Point: Whether it's an order block, a liquidity pool, a liquidity void, or a fair value gap on the Dollar Index.

- Refer to the Interest Rate Triad: Simultaneously check the 30-year, 10-year, and 5-year interest rate markets.

- Confirmation: This step confirms that smart money is behind your trade idea.

- No Obvious Indication: If there is no obvious indication of smart money moving large funds (i.e., no significant divergence or failure swing in the triad), pass on the trade idea and seek new ones that do.

This method allows you to look behind the scenes and understand the underpinnings of the marketplace, as smart money leaves a clear fingerprint in interest rate market shifts, validating your setups.